

Asia-Pacific Growth Monitor: Better on balance as energy pressures begin to ease

- This publication summarizes regional and country-specific growth data across the Asia-Pacific economies we cover.¹ We include June PMIs, but the most recent “hard” economic indicators refer to May in most cases.
- The latest set of (June) PMIs was mixed in terms of month-on-month changes, though generally consistent with solid factory sector growth in terms of absolute levels. China saw both its official PMIs strengthen while the unofficial measures weakened. India’s manufacturing and services indexes both weakened, while Japan’s both strengthened. Supplier delays remained an issue for many manufacturers in the region.
- Our GS Current Activity Indicators (CAIs) generally held up well or improved in May and preliminary June data. We upgraded GDP growth forecasts at least slightly in many economies in recent weeks, reflecting the easing of energy price pressures.
- Financial conditions eased in the majority of economies in recent weeks, reflecting relief from oil prices, among other factors. Korea and Taiwan continue to see massive easing as equity markets surge. Thailand has also eased, with FX depreciation playing a key role. Conversely, Indonesia has seen a meaningful FCI tightening amid policy rate hikes and an equity market selloff.

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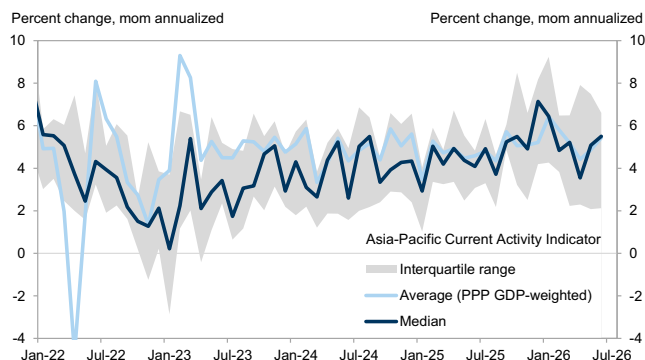
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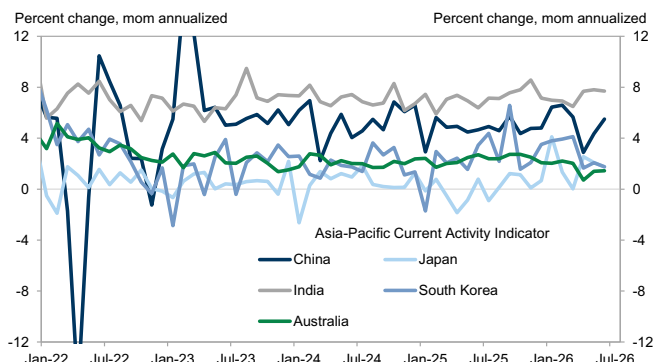
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¹ Thanks to Ming Yang, an intern with the Asia Economics team, for assistance in the preparation of this report.

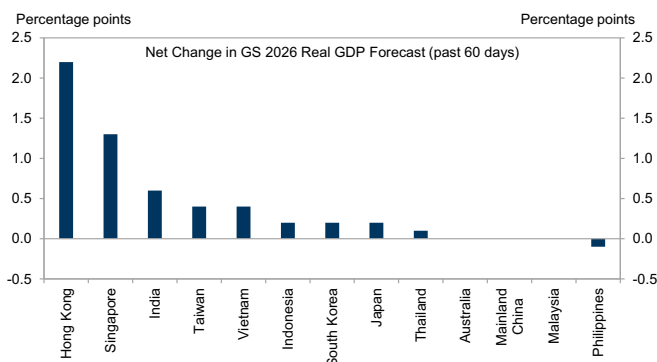
Regional growth - summary indicators

Exhibit 1: Early CAI data suggest improvement

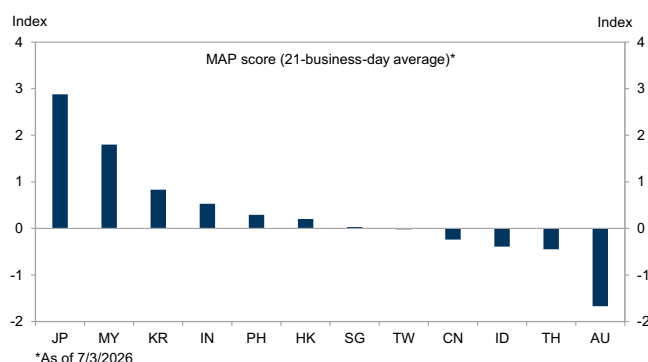
Source: Goldman Sachs Global Investment Research

Exhibit 2: Improvement in China CAI

Source: Goldman Sachs Global Investment Research

Exhibit 3: We have upgraded our growth forecasts for many countries recently

Source: Goldman Sachs Global Investment Research

Exhibit 4: Recent data have surprised to the upside in Japan, to the downside in Australia

Source: Goldman Sachs Global Investment Research

GS Current Activity Indicator (mom, annual rate)
(Green/red = faster/slower growth for economy shown)

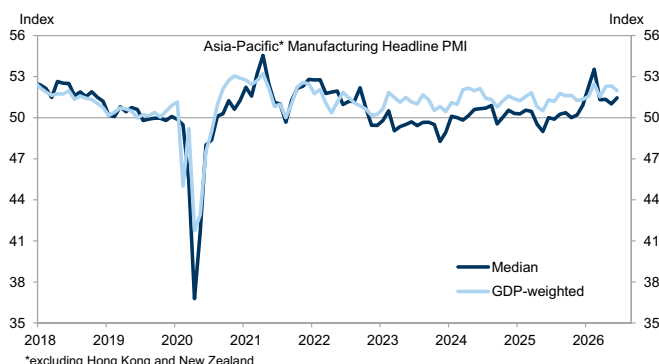
	2025						2026					
	J	A	S	O	N	D	J	F	M	A	M	J
Mainland China	4.9	4.6	5.7	4.4	4.8	4.8	6.4	6.6	5.7	2.9	4.4	
South Korea	4.4	2.2	6.6	1.6	2.1	3.5	3.8	3.9	4.1	1.7	2.1	
Taiwan	3.3	3.7	5.2	3.2	7.0	8.5	9.2	4.8	9.3	3.5	7.5	
India	7.2	7.1	7.6	7.8	8.6	7.1	7.0	6.9	6.5	7.7	7.8	7.7
Indonesia	5.1	4.4	5.1	5.5	4.9	6.0	5.6	5.9	5.2	8.0	5.1	
Malaysia	9.0	5.1	4.9	9.3	6.6	8.9	7.1	2.1	1.7	15.9	6.2	
Philippines	6.3	4.6	5.2	6.2	5.9	7.3	6.1	6.3	7.1	5.1	5.7	
Thailand	0.6	-2.7	11.1	12.1	1.7	8.2	15.1	3.8	2.2	2.3	-1.3	
Japan	-0.9	0.1	1.2	1.1	0.1	0.7	4.1	1.3	0.0	2.5	2.1	1.7
Hong Kong	6.3	5.0	5.8	8.5	6.3	10.1	11.4	6.5	9.5	7.9	8.6	
Singapore	8.3	1.6	6.0	11.6	10.4	7.1	9.9	7.4	5.5	9.6	11.3	9.5
Australia	2.4	2.4	2.7	2.7	2.5	2.1	2.0	2.2	2.0	0.7	1.4	1.5
New Zealand	3.3	3.0	3.6	3.2	3.4	4.2	4.3	3.9	3.0	1.9	1.8	2.7

Note: Monthly CAI values are only shown after more than 20% of the constituent data has been reported.

Source: Goldman Sachs Global Investment Research

Regional manufacturing, services, and trade

Exhibit 6: Aggregate PMIs in modest expansion territory



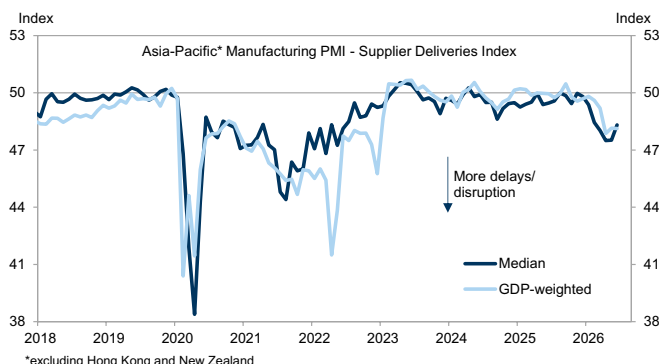
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 7: Prospects for manufacturing improvement looking more positive



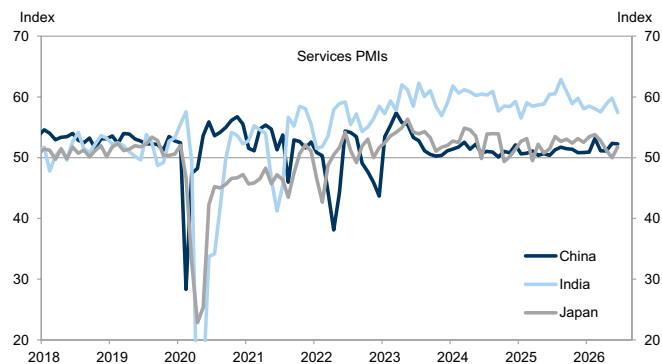
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 8: Supply chain disruptions still a concern



Source: Haver Analytics, Goldman Sachs Global Investment Research

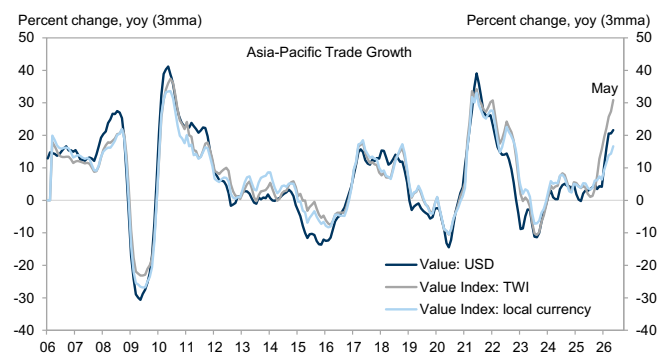
Exhibit 9: Services PMIs down in India, up in Japan



China is average of NBS non-mfg PMI and RatingDog services PMI.

Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 10: Trade activity continues to surge



Source: CPB World Trade Monitor, Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 11: East Asian exports picked up in May

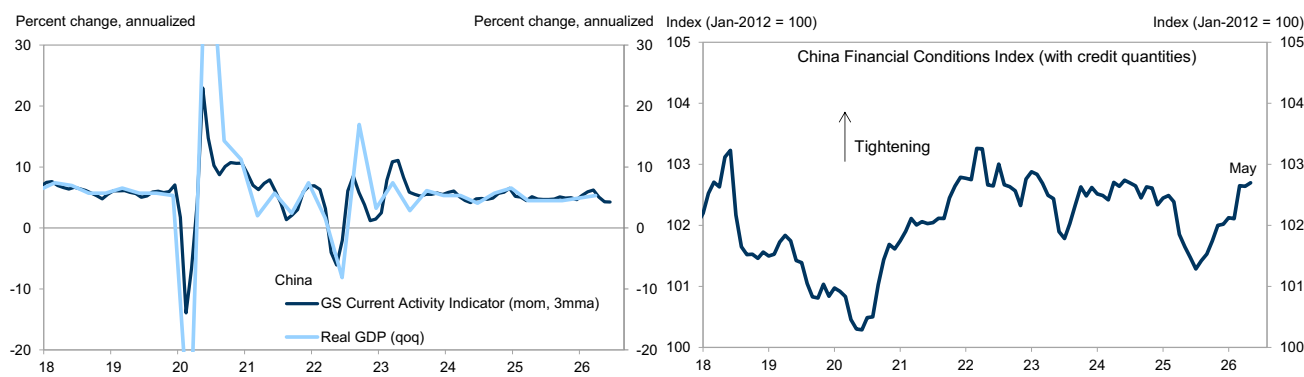


Source: Haver Analytics, Goldman Sachs Global Investment Research

EM Asia – growth and financial conditions by economy

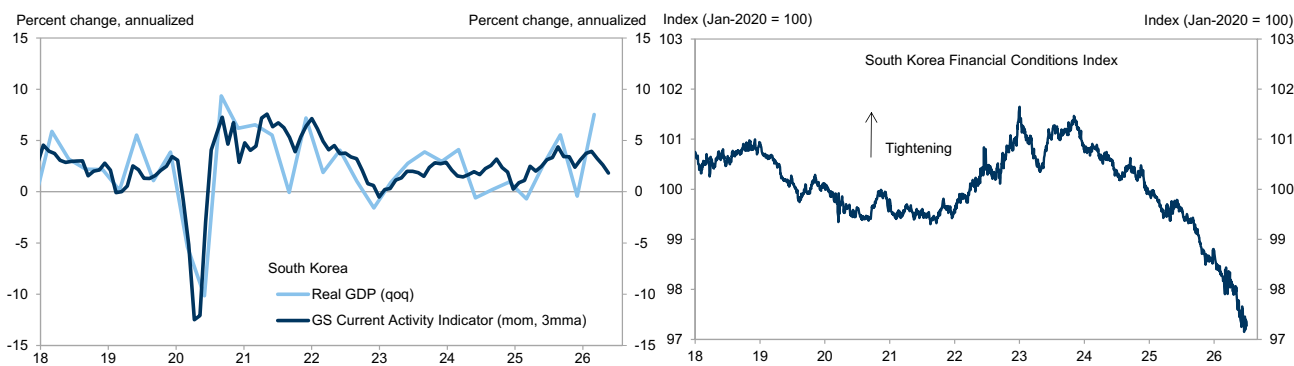
We show the 3-month averages of our CAIs in these charts, to smooth results and ease comparison with GDP data. The very latest [CAI data](#) and [FCI data](#) can be found on the [GS research portal](#). Note that in 2023 we updated and [revised our China CAI](#).

Exhibit 12: China growth and financial conditions



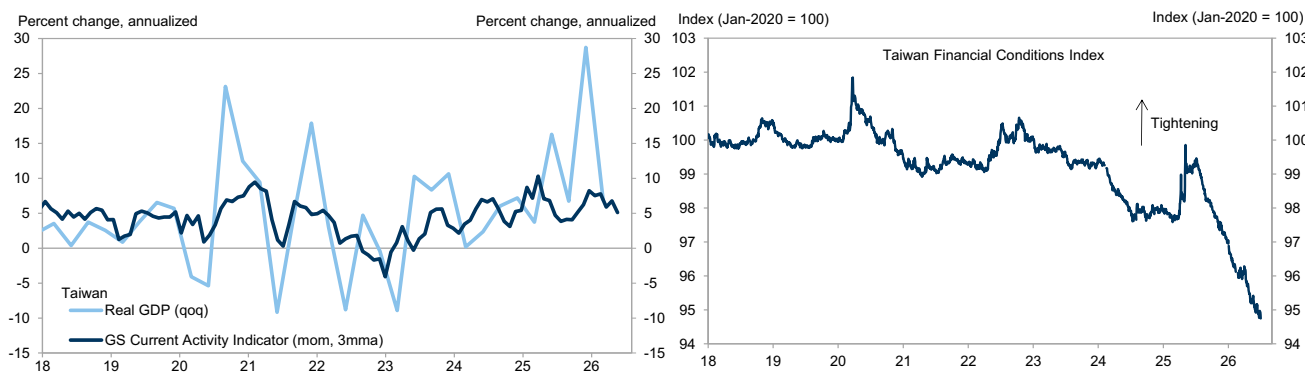
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 13: Korea growth and financial conditions

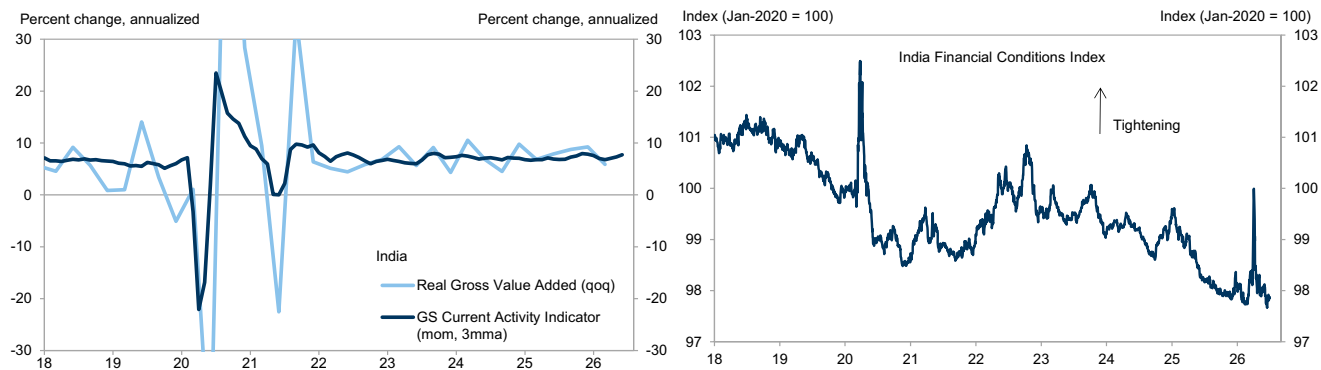


Source: Haver Analytics, CEIC, Goldman Sachs Global Investment Research

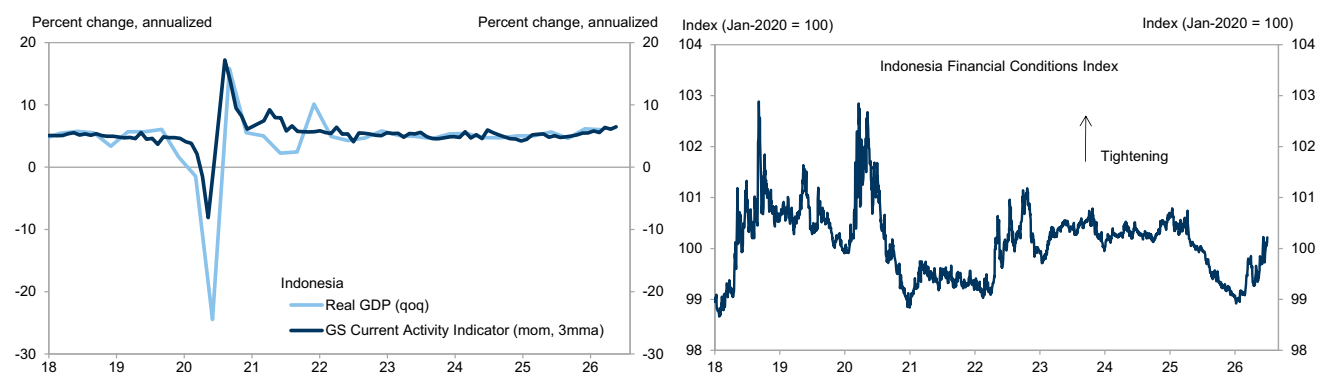
Exhibit 14: Taiwan growth and financial conditions



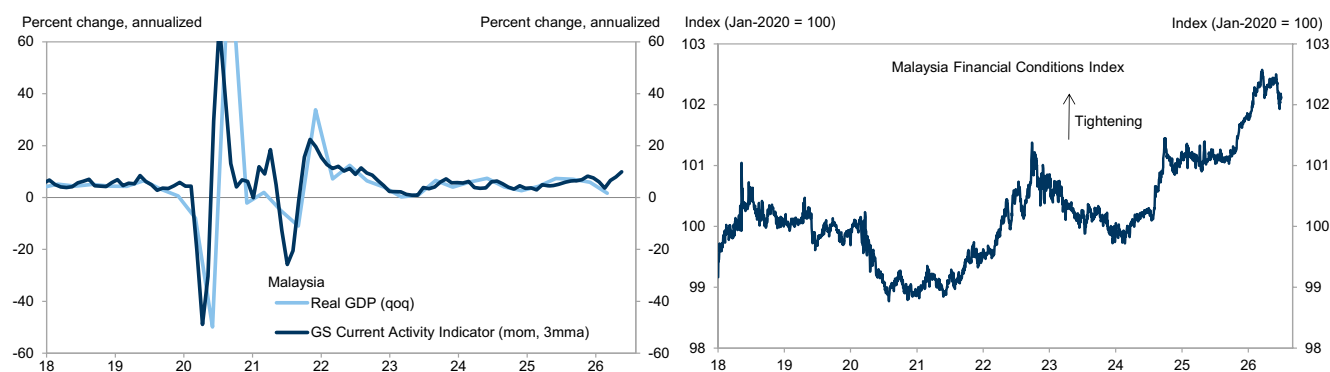
Source: Haver Analytics, CEIC, Goldman Sachs Global Investment Research

Exhibit 15: India growth and financial conditions

Source: Haver Analytics, CEIC, Goldman Sachs Global Investment Research

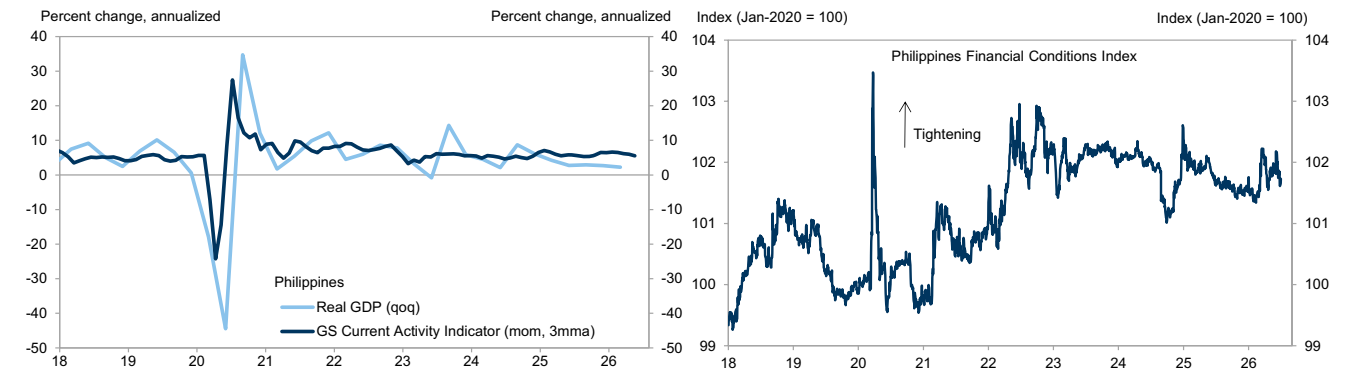
Exhibit 16: Indonesia growth and financial conditions

Source: Haver Analytics, CEIC, Goldman Sachs Global Investment Research

Exhibit 17: Malaysia growth and financial conditions

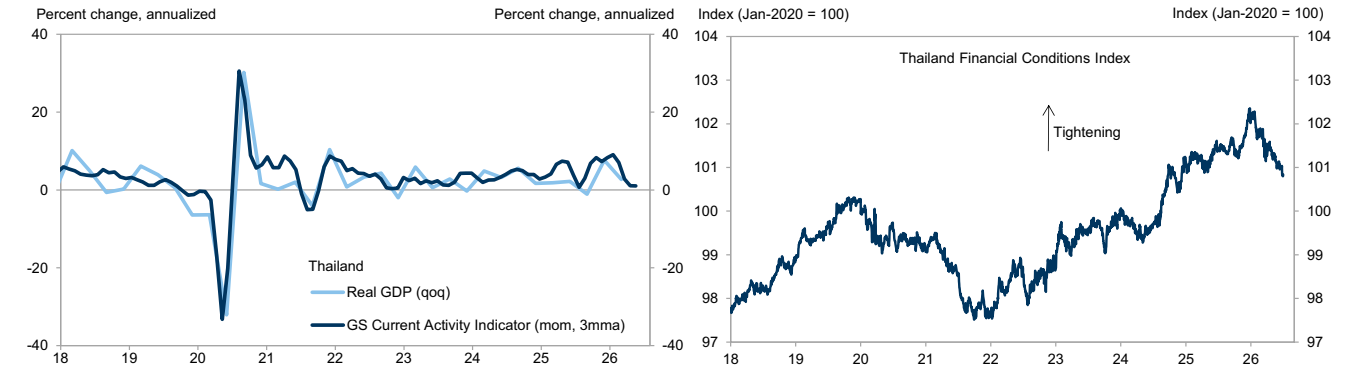
Source: Haver Analytics, CEIC, Goldman Sachs Global Investment Research

Exhibit 18: Philippines growth and financial conditions



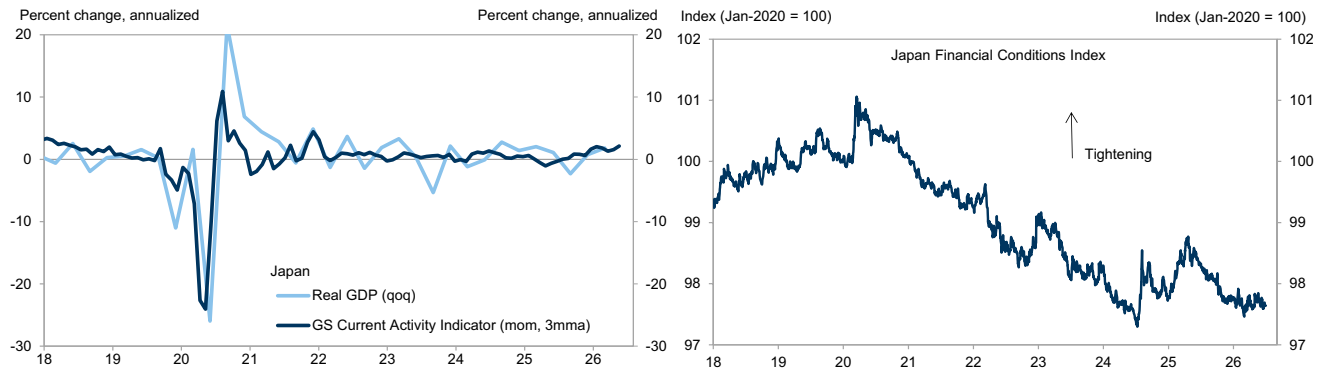
Source: Haver Analytics, CEIC, Goldman Sachs Global Investment Research

Exhibit 19: Thailand growth and financial conditions

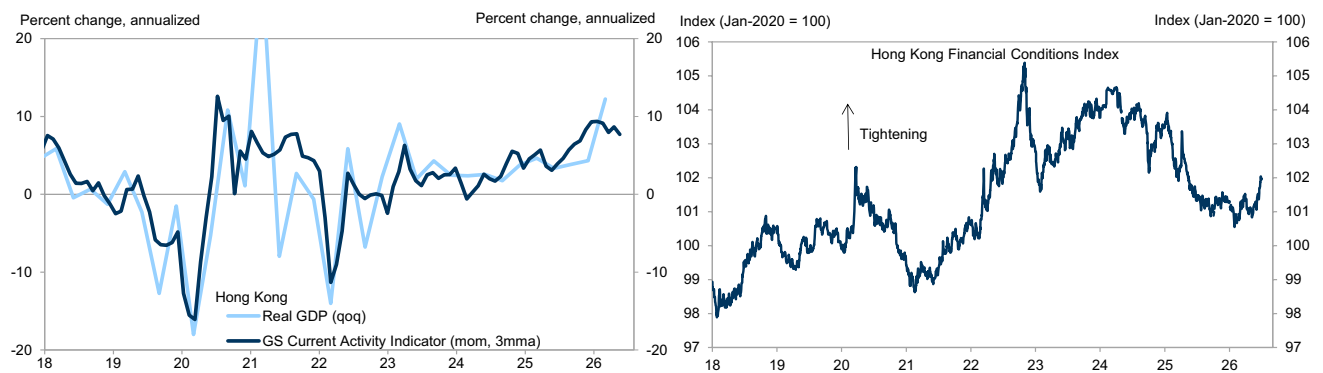


Source: Haver Analytics, CEIC, Goldman Sachs Global Investment Research

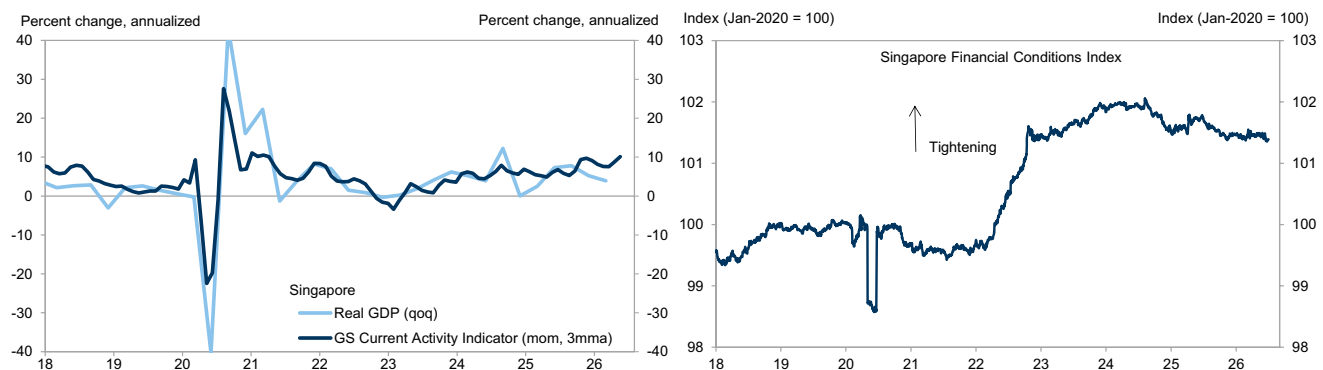
DM Asia - growth and financial conditions by economy

Exhibit 20: Japan growth and financial conditions

Source: Haver Analytics, CEIC, Goldman Sachs Global Investment Research

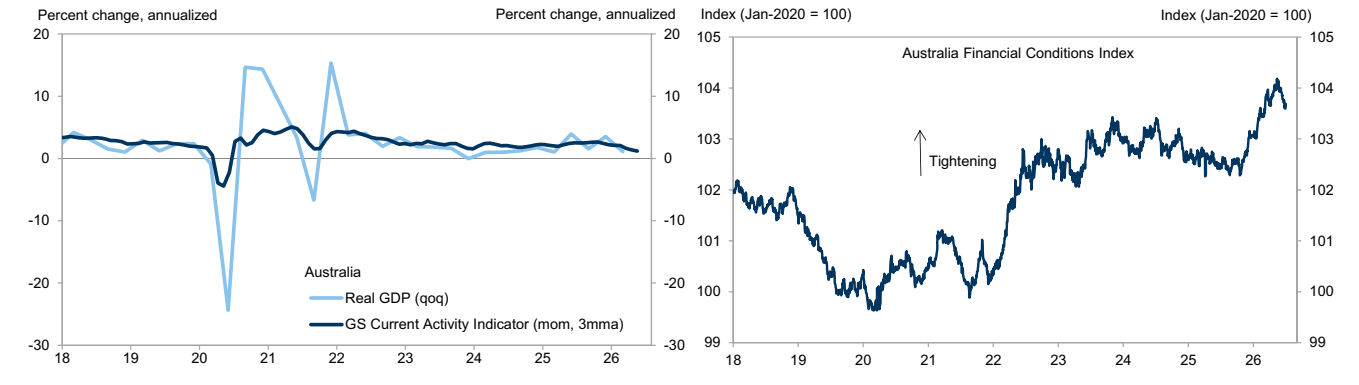
Exhibit 21: Hong Kong growth and financial conditions

Source: Haver Analytics, CEIC, Goldman Sachs Global Investment Research

Exhibit 22: Singapore growth and financial conditions

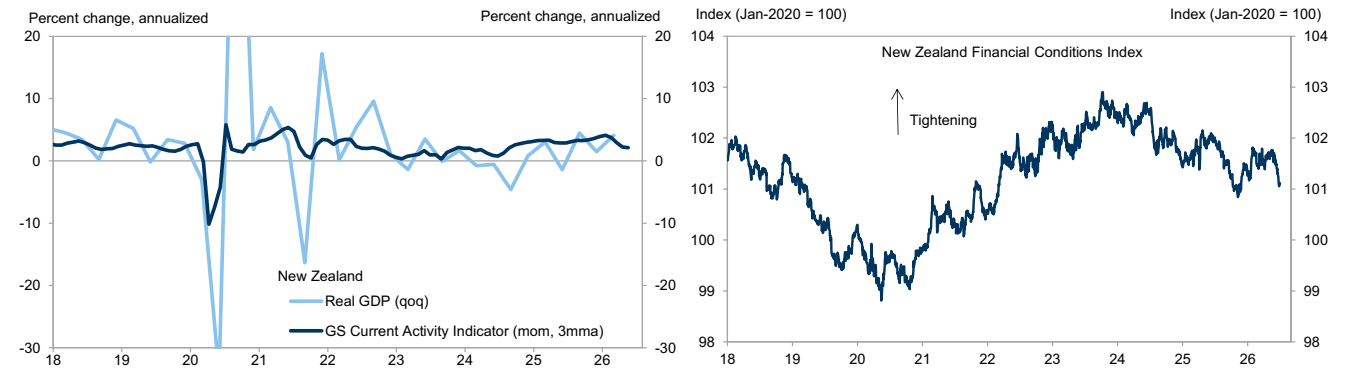
Source: Haver Analytics, CEIC, Goldman Sachs Global Investment Research

Exhibit 23: Australia growth and financial conditions



Source: Haver Analytics, CEIC, Goldman Sachs Global Investment Research

Exhibit 24: New Zealand growth and financial conditions



Source: Haver Analytics, CEIC, Goldman Sachs Global Investment Research

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